

VSEUS

Economics Gazette

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.

Send us feedback to finance@vseus.ca!

Macro Overview:

The American Supreme court has ruled Trump's all of the board tariffs as illegal as they abuse the executive power. Companies are scrambling over to see how they can get their money back from paying illegal fees. In response, Trump has said we will respond by increasing tariffs to all countries to 15% by using other executive precedents. This global tariffs would not include USMCA compliant goods.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	-0.87 %	+1.14 %
TSX	+2.44 %	+3.78 %
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	3.998%	4.033%



by Goli Eshtiaghi
Research Analyst

Beautiful British Columbia and the Budget Ahead

Overview

Released on February 17th, the BC government budget has raised reasonable concerns over the province's potential for economic growth in the upcoming years. A widening deficit coupled with a slight increase in taxes has been received by residents as a less-than-ideal proposal for BC's future. While the government plans to maintain its spending in key areas, its heavy reliance on public debt remains a crucial component.

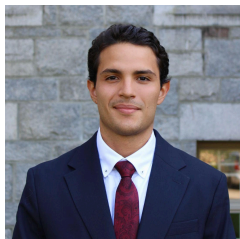


Finance Minister Brenda Bailey announcing the BC Budget. Source: BC government.

Key Takeaways

- Revenue generated is expected to decline even further indicating **slower economic activity and uncertainty** within the province.
- Budget 2026 is expected to **widen the deficit to \$13.3 billion for 2026-2027**, an almost \$4 billion increase from its 2025-26 shortfall.
- Budget 2026 will maintain **high spending on student services, child care system, and health care**, emphasizing investment in increasing health care capacity.
- The budget also sets out some guidelines for how it will **support economic activity** within the province through **skills training, collaborations with the federal government, and streamlining permitting for natural explorations such as mining**.
- The budget will make several changes to tax collection including **an increase in tax rate from 5.06% to 5.6%** to the first income tax bracket, **increasing Speculation & Vacancy tax for foreign owners, and expanding the PST tax base** by implementing it in professional businesses while removing some tax exemptions.
- There are limited and less-than-sufficient plans for increasing entrepreneurial activity within the province, a bottleneck in BC that has yet to be addressed.

British Columbia has reached a wide deficit in a short period of time since ending the year with a surplus in 2022. While government debt on its own doesn't necessarily translate to a grim future (many provinces in Canada have a high debt to GDP ratio), loss of confidence in the province's capacity certainly does. The plan to eliminate almost 15000 full-time positions within the government along with increased tax collection brings the budget under question. **BC's "entrepreneurial drought" as a result of slower population growth and limited incentives has cost its residents dearly**, and the released budget does little to address it.



by Sebastian Contreras
Research Analyst

North American Partners Reshuffling?

Inspired on [WSJ's article](#)

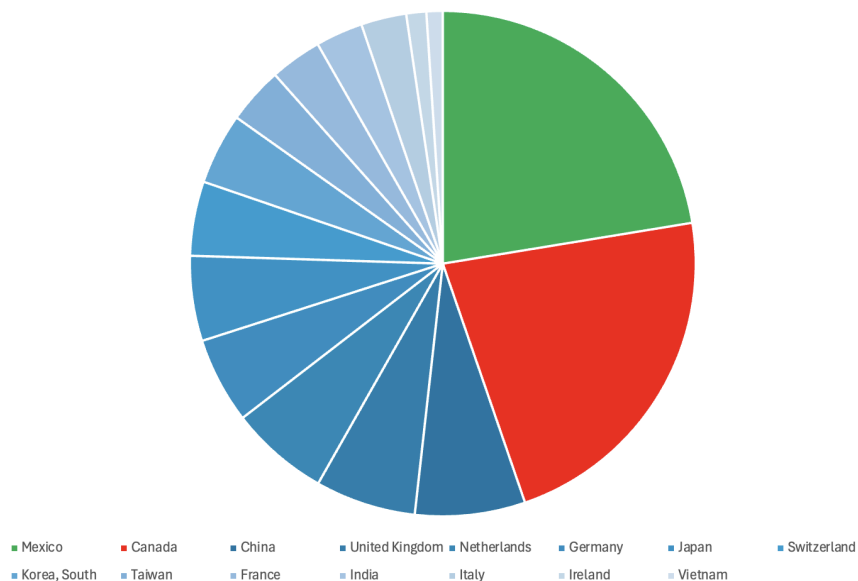
Overview:

Mexico has surpassed Canada for the first time as the major receiver of American exports, with 15.7% of total exports. Mexico is aligning to become better

Risk:

- **Canada is losing market share in the biggest and wealthiest market in the world.**

Top Receivers of US Exports (December 2025)



VSEUS, internal creation, 2026. [Source](#)

Prime Minister Carney is currently traveling the world to meet with so-called "middle powers" including India, Japan, and Australia) to negotiate new trade terms. His goal is

to allow Canada to diversify its trade away from the United States, with a specific focus on improving market conditions for key exports like canola.

Is Carney being naive in his strong optimism for closer middle-power cooperation?

There is no easy answer to this. Permanent structural forces, which are largely unchangeable, have long defined the commercial relationship between Canada and the United States. We cannot ignore the geographic proximity of the U.S., the low cost of cross-border transportation, and the massive infrastructure already built to supply Canadian oil to American refineries. Reorienting oil and gas toward the Indo-Pacific would require billions in new investment. Capital that has been notably absent from Canada in recent years.

However, from a game theory perspective, diversification is a strategic necessity to gain leverage at the negotiating table with our primary partner. Greater diversification would protect Canadian export flows against abrupt shifts in U.S. policy. That said, **Canada currently lacks the infrastructure required to supply Indo-Pacific partners in large quantities.** Even if this infrastructure existed, the path to comprehensive negotiations with nations like India are long and complex. **Carney is risking a poor USMCA outcome by relying on a "Plan B" that may not materialize in the short term. Is Carney improving or sabotaging Canada's capacity to negotiate the USMCA?**

The **divergent paths of Canada and Mexico in 2026** are not just different policy choices; they are the result of two distinct "utility maximization" equations.

- **The National Equation:** Maximizing long-term economic growth and trade stability.
- **The Political Equation:** Maximizing political power and electoral survival.

In a perfect world, these align. In the real world, the **Political Equation often limits what is possible for the National Equation.**

President Sheinbaum is "investing" in trade security by **aligning with U.S. interests**, most notably through security cooperation, such as the recent operation against "El Mencho" and by imposing tariffs on China. Because her party dominates Mexico, her "Political Equation" is secure. This allows her the "cold" pragmatism to prioritize the National Equation without fear of domestic blowback.

On the other hand, **Prime Minister Carney** is pursuing "middle powers" like India and Japan to **diversify away from the U.S.** Carney's actions are dominated by political issues as he

tries to lock a majority government. I would argue that the political equation is dominating his actions. Carney must **maximize his "political utility" by seeking autonomy**, even if the "national utility" (geographic economic reality) is better served by staying close to the U.S.

Is Carney naive? Economically, **reorienting trade without new infrastructure is a big problem**. However, Game Theory suggests he is creating "bargaining leverage" for the 2026 negotiations. He isn't ignoring the best interest of the country, he is just playing by the political rules and by what the Canadian political context allows.

We will soon see which strategy proves more effective: Sheinbaum's alignment or Carney's middle power autonomy.